Singapore's central bank tightens policy as inflation risks rise

The Monetary Authority of Singapore delivered a measured tightening of its policy stance, raising the slope of the S$NEER band, while keeping its width and midpoint unchanged. We think there is still space for further tightening, especially as our forecasts for both CPI inflation and GDP growth sit slightly above the midpoints of MAS's target ranges

Monetary policy stance tightened

The Monetary Authority of Singapore (MAS) tightened its monetary policy slightly today. It increased the Nominal Effective Exchange Rate (S$NEER) policy band's appreciation rate to our estimated pace of 1% from 0.5% previously, while keeping the band's width and central level unchanged. This move was in line with our expectations, given Singapore's solid economic backdrop.

GDP growth came in at an above trend 5% in 2025, with the economy outperforming last year on the back of strong manufacturing and export activity. The latest first-quarter GDP data released today reinforces this positive momentum, showing growth holding at a robust 4.6% year-on-year. Moreover, the MAS raised its core and headline inflation forecasts for 2026 to 1.5-2.5% from 1-2% earlier.

Inflation outlook revised up, growth forecasts remain unchanged

The MAS flagged rising risks from persistently higher oil import prices, as well as potential second round effects from more expensive imported intermediate and final consumer goods. It also warned that shortages of key intermediate inputs could abruptly disrupt industrial production. While MAS acknowledged concerns around growth—particularly in energy intensive sectors such as petrochemicals and transport—it kept its GDP growth forecast unchanged at 2–4%. The output gap is now expected to hover around zero, shifting down from previously positive levels.

Although risks from oil-related supply disruptions persist, we expect some of these pressures to be offset by still-robust AI- and tech-driven demand. Recent fiscal measures—including the corporate income tax rebate and targeted support for the transport sector—should also help cushion the impact. Labour demand remained firm in the final quarter of 2025, with vacancies continuing to outnumber unemployed persons as of December 2025.

Taken together, these factors underpin our GDP growth forecast of 3.3% YoY, which lies on the stronger side of the MAS's projected range and closer to the upper end of its midpoint.

Tightening still on the table—yet MAS set to move gradually

Looking ahead, we expect MAS to maintain a cautious, data dependent stance. Rather than taking an aggressively hawkish stance, the central bank is likely to prioritise flexibility and adjust its stance as geopolitical conditions evolve.

We think there is still room to tighten, especially given that our forecasts for both CPI inflation and GDP growth sit slightly above the midpoints of MAS's target ranges. This suggests underlying price and activity pressures could be firmer than MAS currently projects. However, any additional policy move will likely require more convincing evidence of second round inflation effects. This includes more persistent pass through from higher oil costs or a broader pickup in core consumer prices. Given this backdrop, we expect MAS to leave its policy settings unchanged at the next meeting in July while it evaluates the extent of second round effects amid elevated oil prices.

SGD likely to remain firm

The SGD NEER is currently trading near the top of its policy band—around 1.7% above the midpoint—and we expect it to remain on the strong side. MAS continues to signal its commitment to containing excessive volatility in the SGD NEER, while keeping the option open for further tightening. This policy stance should underpin continued strength in the SGD in the near term.

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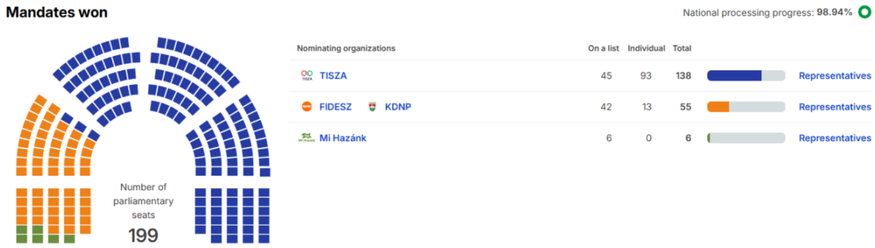
What next for Hungary as opposition beats Orbán by a landslide

Following a record-high turnout, Hungarian voters handed power to the Tisza Party. This comfortable two-thirds majority victory paves the way for a smoother and faster political and economic transition. However, the country's economic structure and its dependencies will limit the short-term impact on the real economy

Peter Magyar addresses supporters after his party wins a landslide in Hungary's elections

The election results

Hungary delivered a clean political break. The Péter Magyar-led Tisza Party won a decisive, two thirds parliamentary majority on record-high turnout, ending Viktor Orbán's Fidesz party's 16 year dominance and securing full legislative control in a single vote. While the results are still not official, the most likely outcome is that Tisza won 138 of 199 seats. The three single-member constituencies are still in limbo due to the extremely tight race, and late votes from abroad can change the official outcome. However, none of the possible outcomes would jeopardise the supermajority. In this respect, the result signals not fragmentation but consolidation: voters coordinated around one credible challenger.



Source: valasztas.hu

What’s next in politics?

Until the new government is formed, the Orbán administration is acting as a caretaker government. The new Parliament must be formed within 30 days after the election, so by 13 May. This date is important from another perspective. In Hungary, a special legal regime has been in effect continuously since May 25, 2022, as a result of the state of emergency declared due to the “armed conflict in a neighbouring country,” namely the war in Ukraine. According to current legislation, this state of emergency will remain in effect until May 13, 2026 (parliament decided last October to extend the 180-day state of emergency once again). In other words, the President of the Republic must convene the inaugural session of the new National Assembly following the April 12 elections.

So, while a caretaker government’s actions are limited due to the state of emergency, in theory, the Orbán administration remains in full power until the new government is formed. However, considering the election results, we doubt that the outgoing party will make any major decisions.

What’s next in economic policies?

From a macro perspective, the key takeaway is the unexpected strength of the mandate for regime change, which reduces short-term policy uncertainty while raising expectations of institutional repair, EU relations and fiscal credibility more quickly than expected. We expect to see many positive headlines in the coming weeks, as Péter Magyar attempts to gain a head start in improving relations with neighbouring countries (such as those in the Visegrad Group) and with the European Union.

While there is widespread expectation that the Magyar government will quickly resolve the EU-fund-related issues, the reality is that it may take longer. Due to allegations of Hungarian spying on EU officials, trust in Hungarian institutions has fallen to a low point. To regain this trust, more than just symbolic measures are needed. In this respect, the RRF deadline could prove too tight, even with a supermajority.

The Hungarian budget is also facing pressure to be restructured, given that the macro backdrop on which it was based has changed significantly. So, first, the new government needs to come up with a new macro baseline that can serve as a credible building block for the reshaped budget. The new government also needs to reshape the economy, and while it can start work on that, a structural change can take more than one political term.

The new government also needs to decide on the price shield measures, which will remain in place until May. Time is of the essence, and in this respect, the most probable outcome would be an extension until the government has more clarity on the fiscal and economic situation. Speaking of fiscal, this year will probably be about dismantling the inherited budgetary and economic policy structure, which could lead to even worse fiscal metrics in the short term. However, the long-term gains may be sufficient to persuade market players and rating agencies to allow the new government time to reshape the country. We think that the first 100 days will be seen as a grace period. Hence, in our view, the first round of sovereign rating decisions in late May and early June won't result in any change.

Last but not least, the government could set a target date for euro adoption, establishing a path to reach it, which can be shaped later. If timed perfectly, this could boost market confidence and give the Tisza party more time to work on the Hungarian economy with some tailwinds.

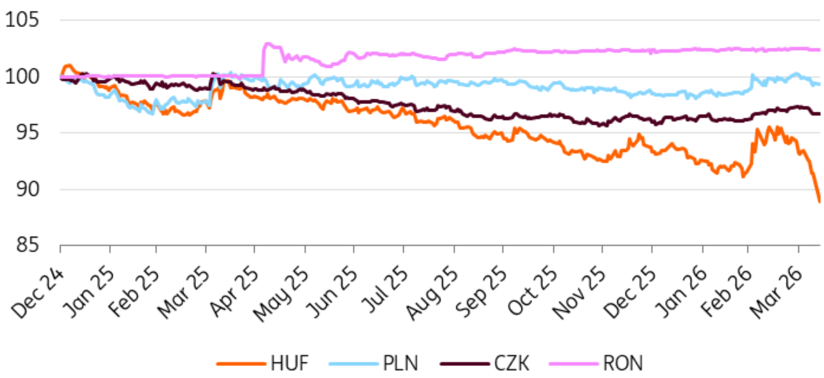
What about the HUF?

The scale of the opposition's win was a surprise. Although market positioning is difficult to read after the US-Iran conflict, the return of EUR/HUF to pre-conflict levels last week suggests that the market was pricing in a simple majority victory for the opposition.

From the market's perspective, the constitutional majority allows for a smooth transfer of power for the opposition and a faster path to unlocking EU funds, which are the main focus of investors, giving Hungarian assets another reason to extend their rally.

CEE FX performance vs EUR

31 Dec 2024 = 100%



Source: Macrobond

The situation in the Middle East significantly obscures the situation, with the expected market opening in a risk-off mood and pressure on the entire CEE region. However, if we were to assume some calm in this, we expect EUR/HUF to stabilise at levels of 355-360 and the bond and IRS curves to move down by about another 30-40bp in the coming days. In our view, the long end of the curve should benefit most from the result, with a better GDP outlook driven by the expected inflow of EU funds and, at the same time, the topic of euro adoption, which the opposition emphasised in its election campaign. On the other hand, the short end will remain burdened by the US-Iran conflict and higher energy prices, preventing the central bank from cutting rates in the coming months despite FX outperforming CEE peers. This will result in curve flattening.

However, another unknown and an increasingly volatile factor in the coming days will be the timing of profit-taking. Given the significant global uncertainty, investors are likely to want to realise profits earlier than usual, which is likely to lead to higher volatility.

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Webinar: Energy security under strain - why cutting Europe's gas dependency won't be easy

Join our live webinar this Friday 17 April as ING's Gerben Hieminga and Nadège Tillier discuss how the conflict in the Middle East is once again exposing Europe's gas dependence and the hard choices that lie ahead. Sign up here

Against a backdrop of renewed conflict in the Middle East, markets are again grappling with energy security risks. Iran remains in control of the Strait of Hormuz, and Europe, despite the lessons of 2022, still imports around 70% of its gas. This raises a pressing question: how exposed is Europe if this crisis continues, and what can realistically be done about it?

Join ING's experts as they discuss:

- Europe's current level of dependence on imported gas
- The short term levers to ease supply risks
- Why longer term solutions – from renewables to nuclear – are harder than they look
- What business leaders should prioritise now

Speakers

Gerben Hieminga, Senior Sector Economist, Energy

Nadège Tillier, Head of Corporate Sector Strategy

Hosted by Rebecca Byrne, Deputy Global Head of Editorial

Details

Date: Friday, 17 April

Time: 1130 BST/1230 CEST

The webinar will last 30 minutes, including a Q&A session at the end. The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time. A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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Rates Spark: Equities are back, but bonds are not - why?

US equities and credit have almost entirely recovered to prices from February despite the surge in energy costs and a significant tightening of financial conditions. The positive market sentiment could push up longer rates in the near term, but we remain more downbeat about the medium-term growth outlook

Expect market yields to remain elevated as energy prices remain high, but yet US equities are close to recovering to previous record levels

The markets and the war and bond yields

To understand the market thinking on the war requires an understanding that markets are cold-hearted. The fact that negotiations broke down over the weekend is important, of course, but it's not the dominant input for markets. Wars between regional powers are not important for global markets. What matters is the ability to get stuff done, and to get hands on stuff. Last week, Iran had control of the Strait of Hormuz. This week, it's under the control of the US. While remaining a-political, that's a more market-friendly outcome, on the theory that the ultimate ambition is to re-open the Strait, fully and unrestricted.

The impact reaction is more nuanced, as in fact the US intervention mutes flows, certainly from Iran. But the bigger and longer term picture is more palatable. From a cold market mindset, even if Israel and Iran were to lob munitions at each other, markets won't care. Markets will care if the US is in the game, and ramping up risk. As it is, it seems that the US prefers an off-ramp, as long as it comes with the US taking control of enriched uranium, and the Strait gets fully re-opened. Things could change quickly in the coming days, but based off what we know, there has been a landing found in an uncomfortable spot, but in an area that averts a super-bad-case outcome.

Expect market yields to remain elevated though, as the elevation in energy prices, even if off highs, has been far from solved. Inflation breakevens *have* managed to ease lower in short tenors, reflecting that mild ratchet away from extremes. But longer tenors yields have come off highs mostly from an easing in real yields. The market is beginning to think about a medium-term activity hit. That said, we continue to view the inflation spurt as the immediate issue that bonds will continue to fret over, keeping long tenor yields elevated.

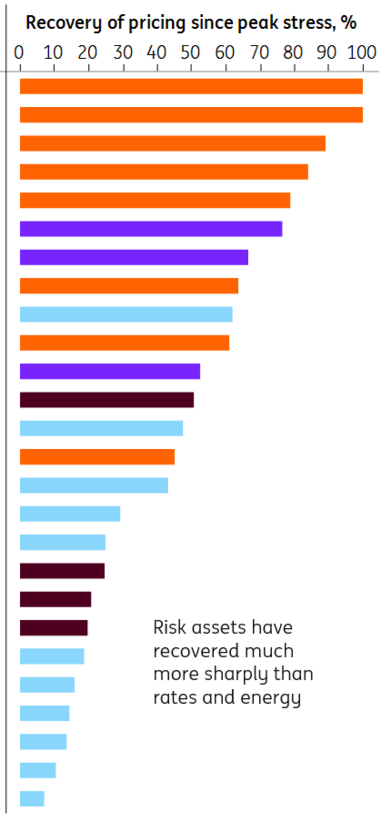
Risk assets are choosing to downplay a major macro shock

Whilst headlines offer little reason for optimism, markets seem to take more of a wait-and-see approach rather than assuming what will happen. If anything, the glass is still half-full when looking at risk assets. We have looked at the performance of a wide range of asset classes since the start of the Middle East turmoil on 28 February, and equities are remarkably close to recovering to previous record levels. The S&P 500 has recovered around 80% of the losses and high yield spreads are practically back to normal. The 10Y Bund-swap spread, a measure of safe-haven flows, is also just 1bp away from February's pricing.

The strong performance of risk assets stands in contrast to the still-elevated oil prices and rates, which raises questions about the consistency in market pricing. The 2Y EUR swap rate at 2.7% is only just below the peak of 2.9% and well above the 1.8% at the end of February. Higher energy costs and monetary policy tightening should all else equal be a drag on growth and negative for equities and credit. Add on top higher discount rates and an increased uncertainty in terms of geopolitical risks. But markets seem willing to look through this.

The positive risk sentiment also means that global 10Y rates can still drift higher from here even if oil stays around current levels. Bonds, especially, are seen as a weak hedge against a further escalation of the Iran situation, favouring, eg, equities. So whilst we do think that growth should eventually be negatively impacted going forward, we won't push against the positive sentiment for now.

In contrast to rates, US risk assets have almost fully recovered from the Iran turmoil



	Current 13 April	Start 26 Feb	Peak
US IG spread	**0.8**	0.82	0.93
US HY spread	**2.78**	2.82	3.35
VIX	**20**	18.6	31
S&P 500	**6819**	6909	6344
Euro IG spread	**0.84**	0.8	0.99
EUR/USD	**1.17**	1.18	1.14
PLN/EUR	**0.236**	0.237	0.233
European HY spread	**3.12**	2.91	3.49
10Y Bund-swap spread	**4.02**	2.12	7.13
STOXX 50	**5905**	6162	5501
ZAR/USD	**16.5**	15.9	17.2
Gas (TTF)	**46.2**	31.3	61.5
5Y5Y EUR inflation swap	**2.14**	2.09	2.2
10Y BTP-Bund spread	**79.1**	60.6	94.3
5Y5Y GBP inflation swap	**3.13**	3.03	3.2
2Y USD swap	**3.64**	3.26	3.8
2Y GBP swap	**4.19**	3.37	4.46
Brent crack spread	**59.1**	27.5	69.5
Oil (WTI)	**103**	65.2	113
Oil (Brent)	**102**	70.4	110
10Y USD swap	**3.88**	3.59	3.95
2Y EUR inflation swap	**2.72**	1.76	2.9
2Y EUR swap	**2.83**	2.19	2.93
2Y GBP inflation swap	**4.38**	3.32	4.55
2Y USD inflation swap	**2.88**	2.42	2.93
10Y EUR swap	**3.13**	2.71	3.16

Source: ING, Macrobond

Tuesday's events and market view

Despite growing optimism, markets will be sensitive to headlines surrounding Iran. While a ceasefire is technically in place, the situation remains sensitive to miscalculations.

However, with the notion sinking in that energy prices can remain elevated for longer, there will also be a focus on central bank speakers with a busy slate of officials taking the podium at the IMF spring meetings in Washington. From the ECB, Makhlouf, Lane, and later overnight Lagarde will be speaking. Speakers from the Fed are Miran, Goolsbee, Paulson, Collins, Barkin and Barr, while the BoE fields Greene and Bailey in surrounding events. The data front will be less relevant with the US NFIB small business optimism, the weekly ADP and March PPI the only notable releases.

Primary markets will come as a test of the recovering risk sentiment. The EU's syndicated sale of a new 20y benchmark alongside a 3y reopening announced yesterday had been anticipated, but France also announced the sale of a new 11y green bond. The UK will sell a new 10y gilt, also via syndication.

In terms of regular auction supply, the Netherlands and Germany will both sell 5y bonds, up to €3bn and €5bn, respectively.

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The Commodities Feed: Oil surges amid Hormuz blockade threat

Energy markets opened higher after the US threatened to block traffic through the Strait of Hormuz following the failure of weekend talks with Iran

Oil and European gas prices have surged following failed peace talks in Islamabad over the weekend

Energy – Oil prices surge amid Hormuz blockade threat

Oil markets rallied sharply on Monday after US-Iran talks collapsed over the weekend. ICE Brent jumped more than 9% in early trade, while NYMEX WTI pushed above $105/bbl. In response, the US military plans to implement a blockade of all maritime traffic entering and exiting Iranian ports from 10:00am Monday Washington time, while allowing vessels not calling at Iranian ports to continue transiting Hormuz. Despite this, two fuel tankers attempted to exit the Gulf via routes close to Iran's coastline, marking the first such movements since the blockade was announced.

European gas prices also surged. Front month TTF futures climbed nearly 18% to intraday highs above EUR51/MWh. The breakdown in peace talks has revived concerns over the conflict, now in its sixth week, while renewed US threats to block Hormuz have intensified fears of near term supply tightness. Around 20% of global LNG supply has been disrupted, with LNG exports through Hormuz already suspended for more than a month. European gas prices have been up over 50% since the US and Israel first struck Iran in late February.

Positioning data points to growing uncertainty. Speculators reduced their net long in ICE Brent by 5,583 lots to 424,270 lots as of last Tuesday, driven by a 4,525 lot fall in gross longs. By contrast, speculators increased their net long in NYMEX WTI by 7,121 lots over the week, taking it to 137,838 lots.

US drilling activity remains subdued. Baker Hughes data shows the US oil rig count unchanged at 411 as of 10 April, as price volatility and weaker margins continue to weigh on investment. Total rigs fell by three to 545, leaving the count 38 rigs below year ago levels.

Looking ahead, attention turns to OPEC's monthly market report due later on Monday, which should provide updated guidance on supply balances amid the escalating geopolitical risks.

Metals – Aluminium jumps to four year high

Aluminium prices climbed to a four year high as rising geopolitical risks in the Middle East intensified concerns over shipments and production. US President Donald Trump's move to block the Strait of Hormuz has raised the risk of further disruption to metal flows, with LME aluminium up as much as 2% on the session. The market is particularly exposed, given that the Middle East accounts for around 9% of global aluminium output and is a key supplier to Europe. Any sustained disruption to shipping through Hormuz would tighten availability and support regional premiums, especially as inventories remain relatively lean. Elevated energy prices are adding to the upside pressure for aluminium, reinforcing cost support for smelters at a time when power markets remain highly volatile.

Other industrial metals traded weaker after the failure of US-Iran negotiations. The sharp rise in oil and gas prices is reviving concerns over the global growth outlook, weighing on demand expectations for more cyclical metals.

Meanwhile, the LME cash/three month aluminium spread has surged into deep backwardation, widening to $91.5/t – the strongest since 2007 – from a $12/t contango at the onset of the conflict.

CFTC data points to more cautious positioning across industrial metals. Speculators trimmed their net long in COMEX copper by 488 lots to 38,804 lots as of 7 April, as increases in both gross longs (+1,758 lots) and gross shorts (+2,246 lots) signalled rising two way risk. In silver, net longs were cut by a further 777 lots for a second consecutive week, falling to 10,039 lots, driven by a reduction in gross longs.

Agriculture – Wheat edges lower on supply driven pressures

CBOT wheat extended losses for a third consecutive session on Friday, ending the week down around 4% – its steepest weekly decline since June 2025. Improving US weather conditions and expectations of ample supply weighed on prices, with forecast rainfall across the southern plains and the USDA's outlook for higher global availability reinforcing oversupply concerns. Money managers shifted back to a net short position, with shorts exceeding longs by 5,633 lots over the week, driven largely by a sharp reduction in gross longs. Sentiment was further eased by reduced concerns over fertiliser supply disruptions following a temporary US-Iran ceasefire.

Across other grains, positioning also softened. Speculative net longs in CBOT corn fell for a second consecutive week, declining by 49,342 lots to 218,632 lots as of 7 April, largely due to long liquidation. Net long positions in soybeans dropped by 23,777 lots to 189,630 lots, reflecting a reduction in gross longs amid ongoing trade tensions with China.

Meanwhile, India's urea production is expected to normalise from Friday, as improved natural gas availability allows previously idle plants to resume operations. Output had fallen sharply in March –

by around 800kt from typical monthly levels above 2.6mt – due to gas supply constraints and maintenance shutdowns. The government has since increased gas allocations to the fertiliser sector to around 95% of average consumption, up from 70-75%. However, risks remain, with the US-Iran ceasefire appearing fragile following the failure of talks over the weekend in Islamabad.

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FX Daily: Failed peace talks give the dollar a brief lift

That US-Iran peace talks failed to deliver a sustainable ceasefire should perhaps not come as a surprise. And while a US naval blockade will push oil higher, that is a better outcome for the global economy than a renewed assault on energy infrastructure in the region. We doubt the dollar needs to rally too much further. Elsewhere, all eyes are on Hungary

The dollar has rebounded on failed peace talks in Islamabad, but it doesn't need to rally too far

USD: Dollar need not rally too much

The DXY dollar index is up around 0.4% today after US-Iran peace talks failed to make any progress this weekend in Islamabad. Oil prices have understandably risen 7-8% on news from Washington that the US Navy would today start a blockade on shipping into and out of Iranian ports. Reports had suggested that Iran was managing to export as much as one million barrels per day of oil during the crisis. Should the US Navy prove effective in curbing these exports, Asian customers will have to chase global oil supplies, resulting in higher energy prices. Presumably, Washington's plan here is to deprive Iran of funds, while at the same time encouraging the likes of China and India to push Iran into a ceasefire.

Perhaps the reasons that energy prices are not higher and that equity markets are not lower today are that: a) at least the Iranian delegation showed up in Islamabad, and b) the alternative of a renewed destruction of energy infrastructure in the region – delivering lasting damage – has so far been avoided. The focus now shifts to whether the naval blockade encourages another round of negotiations, whether the Iranian-backed Houthis in Yemen try to block the southern end of the Red Sea and what the likes of China make of interference in their oil imports.

Away from the geopolitical headlines which will bounce the dollar around this week, the market focus will likely be on central bank reaction functions. Spring IMF meetings taking place in Washington will deliver a plethora of central bank speeches. With oil prices remaining elevated and the jury still out on whether they will lead to second-round effects, expect central bankers to continue talking tough. That could prove mildly dollar negative in that policymakers in Europe and Asia may be forced to talk tougher than the Federal Reserve. Here, the Fed will be mildly encouraged by Friday's release of March CPI data, which largely showed the energy price shock being contained.

In terms of US macro data, this week's calendar is very light, but we will be interested in Wednesday's release of the TIC data for February. Recent releases here have shown softer foreign interest in US Treasury purchases.

Expect DXY to continue to be dragged around by energy prices, although we think good selling interest should emerge should DXY get near 99.50 – the top of a gap left last week when news of ceasefire talks first emerged.

Chris Turner

EUR: Hungarian news might provide a reprieve to the euro

EUR/USD was hit in Asia as oil prices spiked after failed peace talks. As above, the fact that the combatants have not immediately resumed destroying energy infrastructure in the region suggests it could have been worse. That is why EUR/USD is not trading closer to 1.1600.
Also limiting EUR/USD downside today are probably events in Hungary (see below). The convincing pro-EU turn among the Hungarian electorate will be very welcome news for Brussels and may prompt a pause for thought among populist Euro-sceptic political parties across Europe. It will be interesting to see whether the Hungarian news delivers some independent euro strength today – e.g., in the likes of EUR/GBP and EUR/CHF.

Barring another major leg higher in energy prices today, we think something like 1.1700 looks a comfortable level for EUR/USD in the near term. The data calendar is light, but Luis de Guindos will be the first of many European Central Bank speakers this week. It looks too early for the ECB to completely rule out a rate hike in April (which looks unlikely), but we expect the pricing of a June ECB rate hike to hold up. 22bp is currently priced for that meeting.

Chris Turner

HUF: Super majority is another reason for extended rally

The results of the Hungarian general election show a victory for the opposition with a surprising super-majority in parliament. Although market positioning is difficult to read after the US-Iran conflict, the return of EUR/HUF to pre-conflict levels last week suggests that the market was pricing in a simple majority victory for the opposition.

From the market's perspective, the constitutional majority allows for a smooth transfer of power for the opposition and a faster path to unlocking EU funds, which are the main focus of investors, giving Hungarian assets another reason to extend their rally.

The situation in the Middle East significantly obscures the situation, with the expected market opening in a risk-off mood and pressure on the entire CEE region. However, if we were to assume some calm in this, we expect EUR/HUF to stabilise at levels of 355-360 and the bond and IRS curve to move down by about another 30-40bp in the coming days. In our view, the long end of the curve should benefit most from the result, benefiting from a better GDP outlook due to the expected inflow of EU funds and, at the same time, the topic of euro adoption, which the opposition emphasised in its election campaign. On the other hand, the short end will continue to be burdened by the US-Iran conflict and higher energy prices, which will not allow the central bank to cut rates in the coming months despite FX outperforming CEE peers. This will result in curve flattening.

However, another unknown and a factor increasing volatility in the coming days will be the timing of profit-taking. Given the significant global uncertainty these days, it can be expected that investors will want to realise profits earlier than usual, which is likely to lead to higher volatility.

Frantisek Taborsky

UZS: potential IPO may further support capital inflows in Uzbekistan

According to media reports, Uzbekistan’s authorities are considering an IPO of the National Investment Fund (UzNIF), a state owned holding company with net assets valued at $2.44bn. Earlier government guidance suggested that up to 30% of the holding could be offered, implying a potential deal size of around $0.7bn (about 0.5% of GDP), as part of the broader privatisation programme. The listing is expected to include an international tranche in London alongside a domestic offering in Tashkent.

From a macro perspective, such a placement is relevant primarily for the balance of payments and fiscal position. Uzbekistan runs a structural current account deficit, which reached $5.8bn (3.9% of GDP) in 2025, despite high gold prices. This deficit was financed by a sizeable $7.8bn in net capital inflows, of which $4.6bn reflected a net increase in public external debt, with the remainder attributable to private sector flows. A capital inflow via privatisation would therefore serve a dual purpose: reducing reliance on foreign debt in financing the fiscal deficit – public external debt reached $37bn, or about 25% of GDP, in 2025 – while also supporting the financial account.

This reinforces the defensive case for UZS. After showing 7% appreciation to USD in 2025, the currency has remained broadly stable since the outbreak of the Middle East conflict and amid a 10% correction in gold prices. Alongside some scope to increase gold export revenues, privatisation related capital inflows could provide additional support to the balance of payments. We remain constructive on UZS in the near to medium term.

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THINK Ahead: Tell us what you really think

Markets are confidently pricing as many as three European Central Bank rate hikes this year, or so it seems. Our live poll this week suggests otherwise. Read on as James Smith weighs up the case for rate rises in April and June, and explains why it's a dilemma fraught with risk. All that, plus our guide to the week ahead

Are markets really expecting two ECB rate hikes this year?

Watch video

Do investors really think the European Central Bank is going to hike rates several times this year?

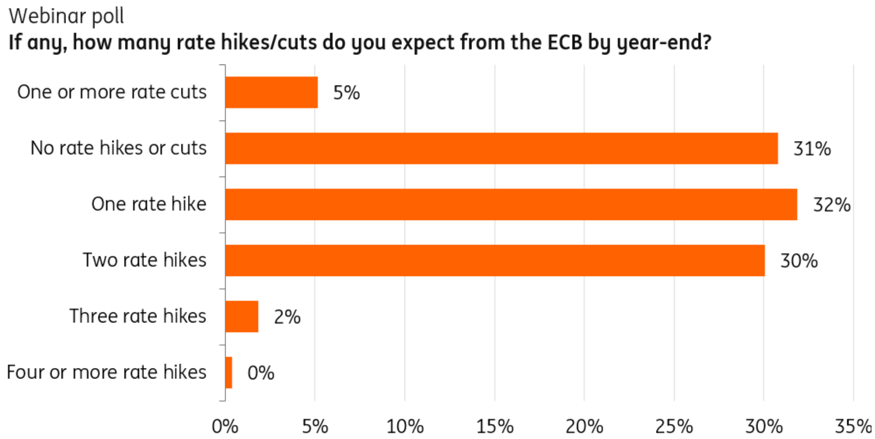
Take a look at the poll we ran during our webinar this week, conducted just 24 hours after the US Iran ceasefire announcement. The audience split almost perfectly three ways between zero, one and two hikes this year. Nobody could agree on what comes next.

And yet, if you glance at your Bloomberg screen, you'd be forgiven for thinking the answer is obvious. For weeks now, swap markets have been pricing between two and three hikes by year-end.

That disconnect suggests market pricing can't be taken entirely at face value. Liquidity is poor. As my colleague Michiel Tukker explains in the video above, thin markets can exaggerate the story. More importantly, market prices are not forecasts. They're weighted averages of multiple scenarios.

Those scenarios range from a relatively benign outcome through to a far more uncomfortable world in which oil prices surge and central banks are forced back into inflation fighting mode. Seeing two hikes on a screen and treating it as a point expectation is probably unwise.

Nobody can agree on what the ECB will do next



Source: ING

Based on a live poll of 273 webinar attendees on Thurs 9 April at 10:00 CEST

Still, the fact that markets are pricing *more than one* hike creates a genuine dilemma for the ECB, and, frankly, for lots of central banks.

Hiking rates now is risky. This is not 2022. The odds of higher energy prices triggering a classic wage price spiral look much lower in today's economic climate. Weak German industrial data this week is just the latest reminder of that. As Carsten told our webinar audience, markets flirting with three or four hikes - something we've seen intermittently in recent weeks - would risk unnecessary strain in financial markets and put additional pressure on an already fragile eurozone recovery.

It's also worth remembering that this shock looks different from the last one. So far, it's much more an oil shock than an electricity shock. Natural gas prices, in the grand scheme of things, haven't moved that much, despite the sharp loss of LNG supply from the Gulf.

And yet, central banks are clearly uneasy. Having got inflation so spectacularly wrong four years ago, they're desperate not to repeat the mistake. Which brings us to inflation expectations – the thing policymakers fear losing control of most.

So far, market based measures of longer term inflation expectations haven't really budged since the conflict began. The five year inflation swap priced five years forward – a decent gauge of where investors think inflation ultimately settles – looks remarkably calm. But that calm is conditional. It assumes the ECB delivers multiple rate hikes this year. A similar logic is true of the Bank of England.

Fast-forward three weeks to the April policy meetings, and here's the issue: it's far from clear that the situation in the Gulf will be any easier to read by then. Let's see what comes out of talks in Pakistan this weekend. But the tentative lesson from this week is that the backdrop is likely to remain fragile and vulnerable to re escalation on multiple fronts.

The Strait of Hormuz, in particular, is showing little sign of a clean or durable reopening. And even if flows improve over the coming days, it remains vulnerable to closure again at short notice.

In that environment, the temptation for policymakers – and probably the most likely outcome – is a re run of March. Keep rates on hold, stress the unusually high level of uncertainty, and keep all options firmly on the table. A handful of dissents in favour of rate hikes would probably help signal that inflation risks are being taken seriously. In other words: keep your powder dry, let investors (and the rate hikes priced in) do some of the tightening for them.

This strategy can only work for so long.

At some point, markets begin to wonder whether central banks are all bark and no bite. And that's when the risk shifts. If investors start to doubt the willingness of policymakers to follow through, inflation expectations – and by extension, the longer end of the bond market – risk becoming harder to control.

We've already seen consumer inflation expectations spike, don't forget. Personally, I'm not convinced that matters very much. Central banks may take a different view.

Then there's the length of the disruption itself. The longer volatility in Middle Eastern commodity flows persists, the more likely it is that we see broader supply chain effects creep in. Think of helium supplies critical for semiconductor production. Aluminium for cars. Fertiliser for food. The list goes on. And, crucially, visibility on how these effects interact is low. The Covid pandemic taught us that.

Which brings us to June.

Central banks can probably get away with a hold in April, blaming geopolitical uncertainty and a lack of economic data to guide them. By the summer, things get much more awkward. If commodity flows through the Middle East remain volatile and unpredictable, investors may begin to question the commitment of central bankers to keeping inflation under control.

The risk of second round effects on prices will have risen, and we might start to see the first hints of that in the official core inflation data. And remember, ECB policy is not especially restrictive to begin with. A 2% deposit rate is widely seen as neutral.

There are, of course, many ways the disruption in the Middle East could play out. We're updating our forecasts and scenarios as we speak – more from us on that next week. But put it this way, it becomes easier to imagine the ECB hiking rates in June if the disruption doesn't resolve much by then, particularly when you add in Germany's fiscal stimulus in the background. Carsten made exactly that point on this week's webinar.

After all, what's one rate hike between friends? But it's a delicate balance. As the Bank of England learnt the hard way back in March, talking tough – even without actually hiking – can open the floodgates for markets to price in far more tightening than policymakers ever intended.

And in a fragile growth environment, that's a dangerous game to play.

James Smith

THINK Ahead in developed markets

United States (James Knightley)

- **Beige Book** (Wed): It is a fairly quiet week in the US next week with the US-Iran negotiations set to drive market sentiment. The data calendar consists of PPI and import prices, which are set to highlight the build up in pipeline price pressures initiated by the Middle East conflict. Industrial production will be the main activity release and based off the ISM manufacturing report and Federal Reserve regional surveys, we expect another decent performance. The Federal Reserve's Beige Book report is also worth watching. This is an anecdotal survey on the state of the US economy that is an important determinant of Fed policy directions. It is likely to highlight increased corporate caution, subdued hiring and rising inflation pressures.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Feb BoP** (Mon): We estimate that the February current account recorded a €293mn surplus vs. €115mn in February last year. That translates into a 12-month cumulative deficit narrowing to 0.5% of GDP vs. 0.6% of GDP after February. According to our forecasts, exports of goods in euro-terms were at a similar level as the corresponding month of 2025, while imports fell by nearly 1% year-on-year. Starting from April, we may see some deterioration in the balance of payments on the back of more expensive imports of oil due to the military conflict in the Middle East. In 2026, we forecast a current account deficit of 1.4% of GDP.
- **Mar final CPI** (Wed): The flash estimate of March CPI of 3.0% YoY surprised on the positive side as the upswing in fuel prices was lower than feared (though might be revised upwards) and apart from petroleum, price pressures were benign. There were no significant changes in either food or housing energy prices vs. February. We also estimate that core inflation, excluding food and energy prices, was broadly unchanged and stood at 2.5-2.6% YoY. The official figure will be released on Thursday. So far, the energy shock is relatively contained and with a ceasefire announced, there is a chance it may remain a supply-side shock with limited spread to prices of other goods and services. We forecast average CPI inflation in Poland at 3.2% this year.

Czech Republic (David Havrlant)

- **Inflation** (Tue): We expect the statistical office to confirm that annual headline inflation remained just below the inflation target in March. The detailed breakdown and Czech National Bank calculation will likely show that annual core inflation remained broadly stable or slightly increased on the back of the punchier price dynamics in the service segment.
- **Current account** (Mon): The current account surplus likely increased in February, as the export performance was still intact before the Iran conflict, while imports for investment purposes somewhat mitigated the effect of solid exports.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 13 April		
US	1500	Mar Existing Home Sales (mn)	4	4.1
Netherlands	0530	Feb Trade Balance (EUR bn)	-	8.1
		Tuesday 14 April		
US	1330	Mar PPI (MoM%/YoY%)	1,4/4,6	0.7/3.4
Sweden	0700	Mar CPI Final (MoM%/YoY%)	-/-	-0.6/0.6
	0700	Mar CPIF Final (MoM%/YoY%)	-/-	-0.6/1.6
		Wednesday 15 April		
US	1900	Fed Beige Book	-	-
Eurozone	1000	Feb Industrial Production (MoM%/YoY%)	-/-	-1.5/-1.2
France	0745	Mar CPI Final (MoM%/YoY%)	-/-	0.9/1.7
Greece	1000	Mar CPI (YoY%)	-	2.7
		Thursday 16 April		
US	1415	Mar Industrial Production (MoM%)	0.2	0.2
	1330	Initial Jobless Claims (000s)	215	219
Eurozone	1000	Mar CPI (YoY%) Final	-	2.5
UK	0700	Feb GDP Estimate (MoM%/YoY%)	0.2/0.6	0.0/0.8
		Friday 17 April		
Eurozone	1000	Feb Current Account (EUR bn)	-	13
	1000	Feb Total Trade Balance (EUR bn)	-	-1.9
Italy	0900	Feb Global Trade Balance (EUR bn)	-	1.1

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 13 April		
Turkey	0800	Feb Current Account Balance (USD bn)	-7.1	-6.8
	0800	Feb Retail Sales (MoM%/YoY%)	-/-	2.4/18.8
Poland	1300	Feb Current Account (EUR bn)	0.3	1.2
Czech Rep	0900	Feb Current Account Balance (CZK bn)	34.2	29.2
Kazakhstan	-	Mar Industrial Production (YoY%)	-	3.2
		Tuesday 14 April		
Czech Rep	0800	Mar CPI (MoM%/YoY%)	0.6/1.9	0.6/1.9
Ukraine	0000	Oct Trade Balance YTD	-	-30.6
Romania	0800	Mar CPI (MoM%/YoY%)	-/-	0.6/9.3
Serbia	1100	Mar CPI (MoM%/YoY%)	-/-	0.5/2.5
		Wednesday 15 April		
Turkey	0900	Mar Budget Balance (TRY bn)	-	24.4
Poland	0830	Mar CPI Final (MoM%/YoY%)	1/3	1/3
Romania	0700	Feb Industrial Production (MoM%/YoY%)	-/-	-3.3/-3.8
		Thursday 16 April		
Poland	1300	Mar Core Inflation (YoY%)	2.5	2.5
Croatia	1000	Mar CPI Final (YoY%)	-	3.8
		Friday 17 April		
Hungary	0730	Feb Average Gross Wages (YoY%)	8.8	26.3

Source: Refinitiv, ING

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US inflation much more likely to be transitory this time around

Gasoline price hikes prompted a jump in headline inflation, but core pressures were more benign than feared. We have much greater confidence that inflation will be transitory this time around, given the lack of demand impetus and weaker corporate pricing power versus 2022

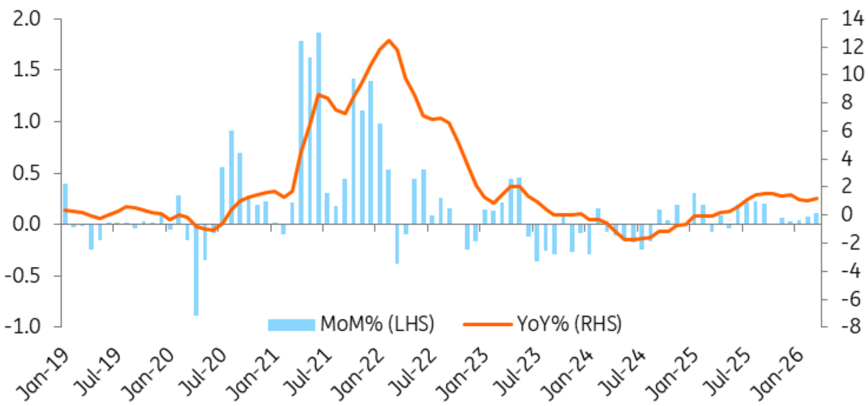
US CPI for March rose on higher gasoline prices, but we do think higher inflation will be transitory

Gasoline prompts an inflation jump, but core pressures were softer than feared

US headline CPI showed prices rising 0.9% month-on-month in March, as expected by the market, with a 21.2% MoM jump in gasoline prices contributing the bulk of upside impetus. Airline fares rose 2.7% MoM and apparel prices rose 1%. However, excluding food and energy, inflation was softer than feared, rising only 0.2% MoM/2.6% YoY versus expectations of a 0.3%/2.7% outcome. This was thanks largely to a 0.4% drop in used car prices, a 0.2% decline in medical care and a 0.4% decline in "other goods & services". Housing costs, the single biggest component by weight, rose 0.3%.

The economy has handled tariffs well, with limited goods price inflation. Core goods prices (ex-food and energy), remain benign, rising just 1.2% year-on-year. Instead, the tariff cost is largely being borne by the US corporate sector – next week's import prices will show another monthly rise, indicating foreign producers are not "paying" the tariffs.

Core goods price inflation



Source: Macrobond, ING

"Transitory" inflation far more likely this time

While the rise in energy costs will push the annual inflation rate even higher over the next few months, we don't expect a repeat of 2021/22 when the Fed called inflation pressures "transitory" only to then hike rates 525bp as inflation got within touching distance of 10%.

The supply shock this time around is arguably far smaller, focused in the US' case on gasoline and other fuel costs rather than *all goods* AND energy in the wake of pandemic-dislocated global supply chains. More importantly, there isn't the demand impetus this time around to generate broad and persistent inflation. 2022 saw 4.5mn jobs added, wage growth touching 6%, significant pent-up demand, record savings levels and stimulus checks. This time we have a much cooler jobs market with wage growth closer to 3%, weaker confidence and flat-lining real household disposable income.

Rising fuel costs likely to be demand destructive

Fuel price hikes are more likely to be demand destructive, via reduced discretionary spending power. This point was underlined by yesterday's personal income and spending report, which showed real household disposable incomes were flatlining before the Middle East conflict. We are likely to see this turning negative in coming months. Furthermore, if we see a successful outcome for the US-Iran negotiations and the flow of oil and gas starts to trickle out before coming more of a proper flow through the second half of the year, lower energy costs could possibly drive inflation below 2% at some point next year. As such, we still think interest rate cuts are more likely than hikes, especially given the Fed's dual mandate (price stability AND Maximum employment).

What would change our Fed view? If inflation expectations were to start rising and wage demands pick up, but right now both market and consumer long-term inflation expectations appear anchored and there continues to be more unemployed Americans than there are job vacancies – remember back in 2022 there were two job vacancies to every unemployed American. This highlights how the demand-supply balance has shifted within the jobs market and explains why we think second-round price effects will be far more muted this time relative to the post-pandemic inflation shock.

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Disclaimer

Watch: How the energy shock is hammering Europe’s construction industry

Europe's construction industry finds itself at the mercy of the sharp rises in oil and gas prices we've seen since the start of the war in the Middle East. ING's Maurice van Sante says we're seeing the strongest price rise expectations since the 2022 energy crisis.

There's more on Maurice's findings here

How the energy shock is hammering the construction industry

Oil and gas prices may have come down since the apparent ceasefire in the Middle East, but still-elevated levels are really bad news for Europe’s construction industry. Materials such as cement, concrete, and bricks are highly energy-intensive to produce. We’re already seeing that pressure add up; nearly a fifth of European building manufacturers said last month they would increase their prices. That’s the highest reading in three years. Some countries are more exposed than others, notably the Netherlands and Spain, where producers are more reliant on gas. And all this comes at a time when the construction industry was just seeing a turnaround in its fortunes.

[Watch video](#)

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How Europe can reduce reliance on imported gas and what it means for business leaders

As Europe confronts a new energy crisis, we explore key measures to strengthen energy security beyond simply lowering energy bills, and the potential implications for business leaders

Europe still imports about 70% of its gas, leaving it exposed to supply risks

The EU has several levers it can pull to reduce its exposure to volatile gas markets if the energy crisis were to intensify.

Lowering gas demand is possible, but it comes with significant challenges and sacrifices. For households, further reductions are limited as thermostats are already turned down in the spring and summer – meaning that actions like shorter, less frequent showers may be necessary. In industry, decreased gas consumption is often the result of closures and deindustrialisation, rather than improved efficiency. In the short term, maximising the output of existing **hydro, nuclear, and coal power** plants offers the most immediate relief for the power sector.

While **renewables** surged after the 2022 energy crisis, current grid constraints limit their ability to provide a rapid solution. Over the medium term, expanding **biogas** production presents meaningful potential. Although **offshore gas production** is naturally declining, there is still an opportunity to extend the use of remaining resources and tap into new fields. This renewed crisis is likely to accelerate efforts to revive the **nuclear** sector, but such projects require many years to come to fruition. Unlike the energy crisis of the 1970s, which led to France's nuclear expansion, today, renewables are set to become the foundation of Europe's future energy systems.

As a **business leader**, immediate actions such as reducing gas usage or temporarily substituting gas with coal can help manage short-term supply disruptions. However, these approaches are not without challenges, particularly the potential for higher carbon costs from a gas to coal switch. To address supply risks and cost pressures more sustainably, companies should focus on increasing their reliance on renewable energy, investing in solutions that enhance grid capacity, expanding biogas production and utilisation, and supporting domestic offshore gas projects. These strategies can provide structural resilience against volatile gas markets.

Gas demand down 20% since Russian gas crisis, but further cuts will be harder

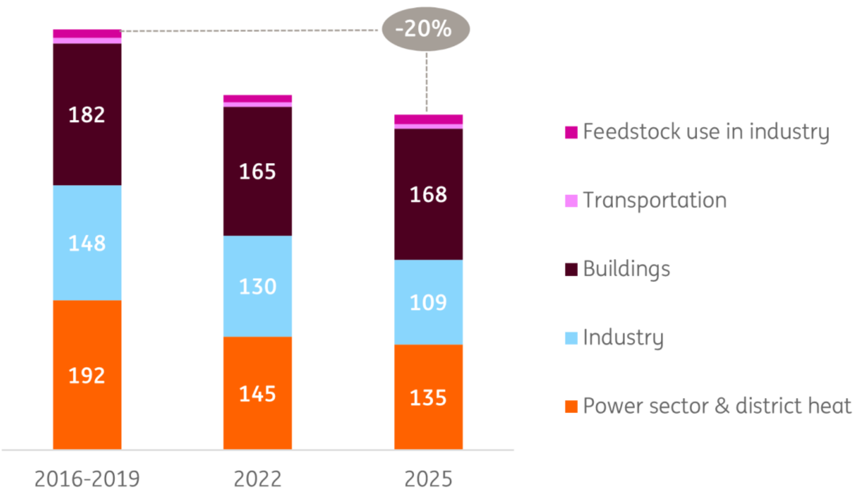
Since the 2022 energy crunch, European gas consumption has dropped from roughly 540 billion cubic meters (bcm) to 430 bcm, a notable reduction of 110 bcm, or 20%. Despite this progress, Europe still imports about 70% of its gas (just over 300 bcm annually), leaving it exposed to supply risks.

In the **building sector**, gas use has been structurally reduced by 8%, mainly due to conscious use (lower thermostats), better insulation, and increased adoption of heat pumps. The process of “greening” buildings is ongoing, but there are limited opportunities for rapid change.

Industry has seen gas consumption fall by 26%, but most of this has resulted from plant closures rather than efficiency gains. The chemical sector lost 37 million tons of gas and oil intensive refinery capacity due to shutdowns since 2022, while only seven megatons of new, “greener” capacity has been added, mostly in the battery, biobased, circular value chains and the modernisation of existing plants.

Gas use has been reduced by a fifth since the Russian energy crisis

Natural gas use in Europe (EU-27 + UK)



Source: ING Research based on Eurostat and Dukes

In the **power and district heating** sector, gas demand has dropped an impressive 30% compared to pre-crisis levels. Although electricity demand fell by just 3%, the power sector managed deeper gas reductions by shifting to renewables.

The question now is how much further Europe can reduce its dependence on imported gas and how that might affect businesses. This is not just an issue of compensation for high gas prices. It is about immediate, short-term measures that can quickly make a difference. We also examine longer-term solutions that could substantially reduce Europe's reliance on imported gas but require policy changes and sustained investments.

Gas diversification helped in 2022, but is tougher in today's multipolar world

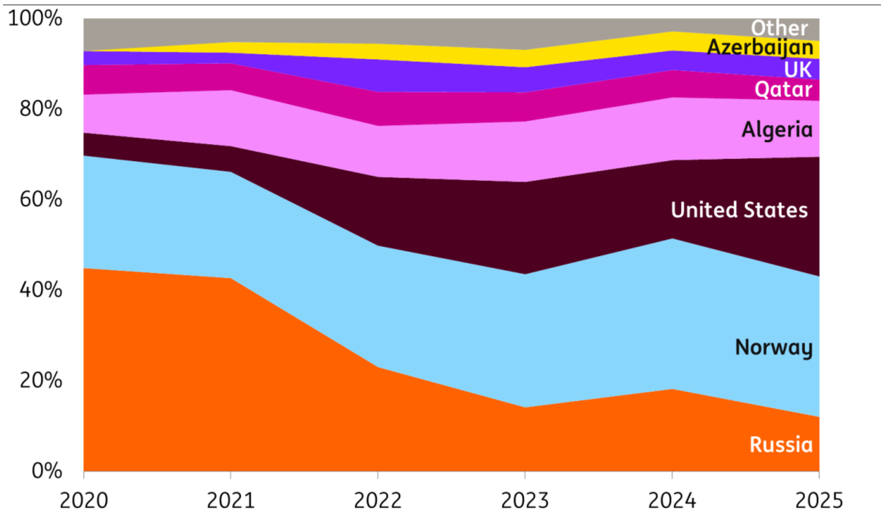
At the onset of the Russia-Ukraine conflict, 40% of EU natural gas came from Russia, but by the end of 2025, this fell to 13%. While some countries were less reliant, Germany sourced over 55% of its gas from Russia before 2022, dropping to zero pipeline imports in 2025.

Norway is now the EU's top gas supplier, followed by the US

Norway is now the EU's top supplier (31% in 2025, up from 25% in 2020), followed by increased US liquefied natural gas (LNG) (26%, up from 5%). Algeria increased its share to 12%. The UK and Qatar each provide nearly 5% of the EU's total gas imports, underscoring their continued but smaller role in the region's energy mix.

EU has shifted natural gas imports from Russia to Norway and the US

Gas imports to EU-27 per country of origin 2020-25 (based on volumes)



Source: ING Research based on Bruegel

Europe now relies on a wider range of suppliers, but paradoxically, the new geopolitical situation still leaves Europe vulnerable. If tensions with Russia escalate, Norwegian gas pipelines could face an increased risk of sabotage. And President Trump has used the threat of reduced LNG exports as leverage in trade negotiations, while exports from Azerbaijan and Algeria to the EU can only increase slightly and substantial growth would require new investments which impact gas flows only after 2030. Risk-free diversification is now less feasible than during the 2022 crisis.

Implications for business leaders

Most businesses rely on energy providers for their gas supply, but these providers have limited options to further diversify their procurement strategies. As a result, companies remain exposed to potential gas supply disruptions and the associated price volatility. To manage these risks, business leaders may employ hedging strategies, even when market prices are high, and often attempt to pass increased costs on to their customers.

Coal returns as an immediate but temporary solution

Coal remains the fastest option to replace natural gas in power generation, requiring no new capacity investments. After the Russian invasion of Ukraine, coal’s share in Europe’s power mix rose from 11% (2020) to 13% (2022).

Although some countries have closed their coal plants, significant capacity remains. In Germany, approximately 28 GW of coal-fired capacity is operational, including both hard coal and lignite units, with some scheduled to run beyond 2030. Poland retains around 27 GW of coal-fired power capacity and, as of mid-2025, has approved the extension of ageing 200 MW coal units for national security reasons. Meanwhile, the Netherlands is home to two of Europe's newest coal plants, with a combined capacity of 2.5 GW.

Until recently, gas-fired plants were more economically attractive than coal-fired plants, resulting in coal capacity being largely underutilised and readily available for rapid production increases. Given Europe's extensive and interconnected power grids, ramping up generation from coal plants could effectively reduce gas usage in power plants across the continent.

A common concern is the increase in carbon emissions. However, both coal and gas power plants operate under the EU Emissions Trading System (ETS), which sets a cap on total emissions regardless of the energy source. Switching to coal boosts demand for carbon allowances and, all else being equal, leads to higher prices for carbon allowance. Yet, in the event of a gas crisis, the additional carbon costs are typically much lower than the sharp rise in gas prices. This is already evident in current markets, where coal is increasingly used as a substitute for gas whenever gas prices surpass €45 per megawatt-hour.

Implications for business leaders

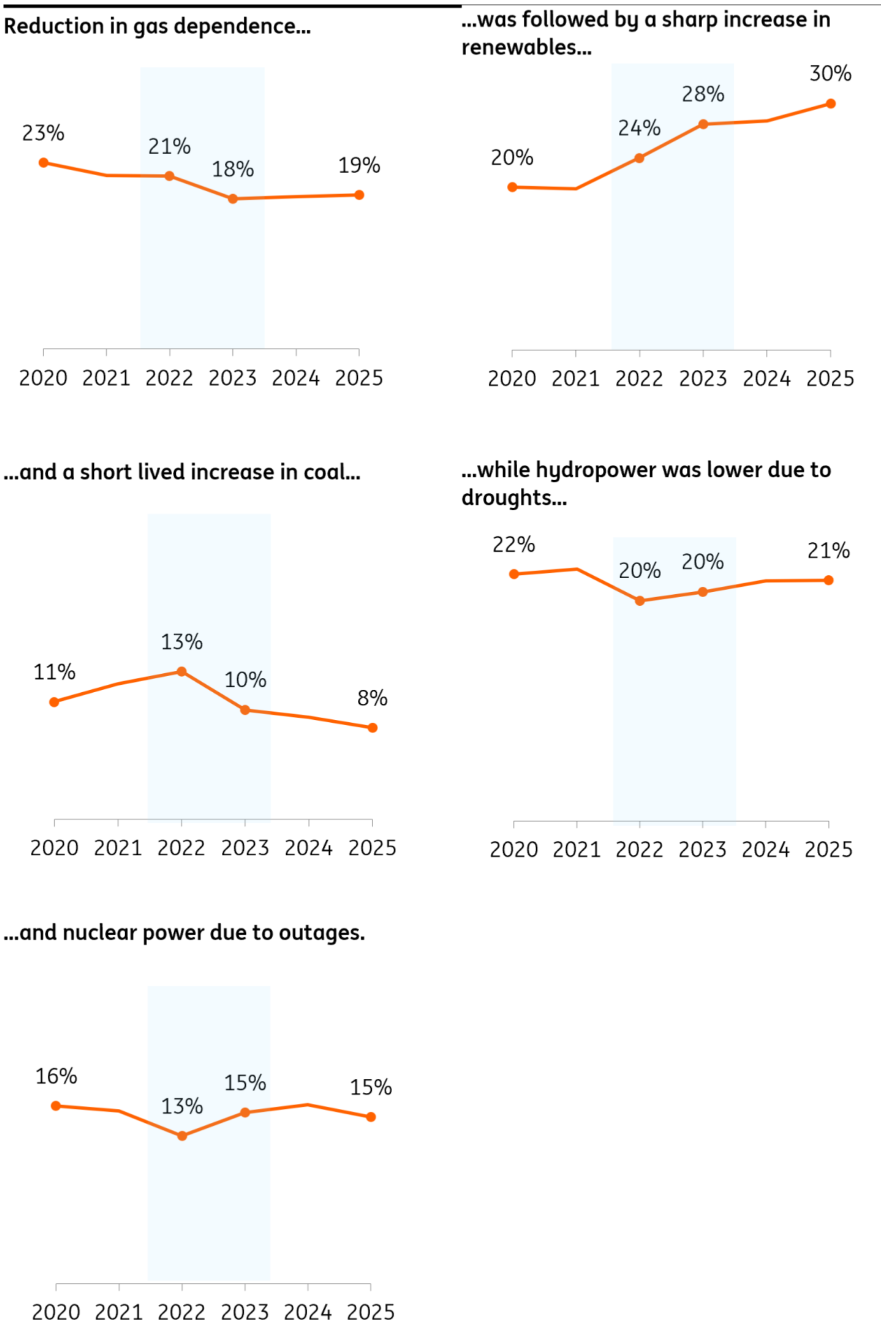
For business leaders, the implications are clear: while coal can provide a buffer against gas supply disruptions, it comes with the risk of increased carbon costs. The trajectory of ETS prices is influenced not only by greater coal usage but also by how much the gas crisis dampens economic activity, particularly in energy-intensive industries that drive demand for carbon allowances. When ETS prices rise, energy procurement costs increase, making exports to countries outside the EU less competitive. Consequently, investment strategies are shifting towards minimising both gas and carbon exposure – such as through energy efficiency initiatives and electrification – rather than depending on short-term fuel substitutions.

Renewables remain the long-term goal, but grid limits slow progress

During the 2022 energy crisis, lower gas use was largely offset by increased renewable generation while coal played a secondary role. This transition was further impacted by reduced output from hydropower and nuclear plants, which experienced operational disruptions from outages and severe droughts.

Within the power sector, renewable expansion replaced gas, with coal usage rising temporarily before resuming its decline

Share of energy source in European power generation mix (2020-2025)



Source: ING Research based on Bloomberg New Energy Finance

According to DNV's 2026 global energy survey, 71% of senior energy professionals believe that expanding renewables is key to energy security. However, further expansion of renewables is now considerably more challenging compared to 2022 due to grid congestion. For example, in the Netherlands, more than 4,000 companies, including developers of wind and solar projects, are waiting for a grid connection. In Poland, 205 GW of renewable energy and storage projects are queued for grid access.

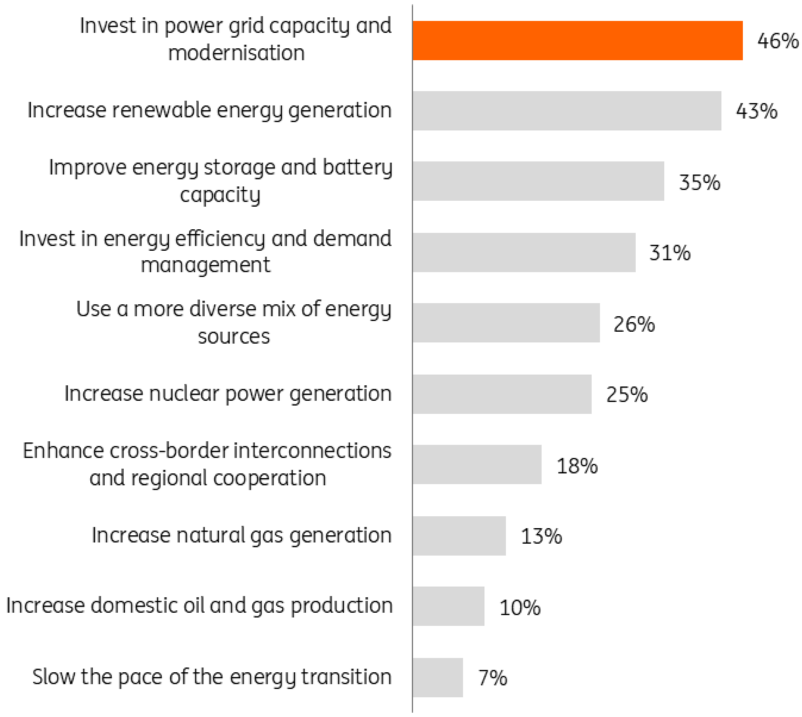
Grid congestion delays renewable expansion

Although speculative "ghost projects" inflate the numbers, real projects are affected. Since 1 January, Dutch grid operators now prioritise connections for grid-enhancing projects like batteries and demand flexibility, followed by critical needs (defence, hospitals, police, water), then societal services (housing, schools, waste, telecom). Businesses, including developers of renewables, are fast – often facing years-long delays.

So, while renewables are economically attractive, grid congestion delays expansion. Energy professionals now see grid investment as the most effective way to boost security.

What energy professionals think is the best way to improve energy security over the next three years

Percentage of respondents including the solution as one of their top three



Source: ING Research based on DNV's 2026 global energy survey

Implications for business leaders

For European businesses, renewables remain the cheapest and most credible route to reducing gas exposure and long term power costs. Politicians are also in favour of renewables – even more so in times of crisis – and they are likely to incentivise project developers to build renewables and businesses to use renewable electricity. However, for business leaders, the constraint is no longer renewable economics, but infrastructure. The speed at which they can grow renewables will increasingly depend on access to grid capacity and flexibility solutions, making investments in storage, demand response, on site generation and locations with available grid headroom a strategic factor – rather than energy prices alone.

Biogas: Europe's scalable, local, and circular gas solution

Biogas stands out as a medium- and long-term solution for Europe, supporting a resilient system while reducing Europe's dependence on imported gas.

Europe produces about 7 billion cubic meters (bcm) of biogas (1.6% of demand). Forecasts by DNV and BNEF suggest production could triple to over 20 bcm by 2030 and plateau at 30 bcm by 2035 – almost 8% of current demand. While this is substantial growth, it falls short of the EU's 35 bcm REPowerEU target for 2030 that was defined in the wake of the Russian gas crisis.

Even more significantly, biogas has the theoretical capacity to supply up to one-third of Europe's current gas demand. This would require tapping into all available sustainable feedstocks, including manure, agricultural residues, organic waste, and utilising advanced gasification technologies. However, realising this potential depends on strong policy support, rapid technological deployment, and effective management of biomass competition – conditions that are currently far from being met.

> *In Denmark, biogas now supplies 40% of the country's gas demand*

Denmark exemplifies biogas success, with 58 plants built in a decade now supplying 40% of national gas demand. With further policies, Denmark could reach 100% biomethane in a few years and even exceed domestic needs if it also pursues policies to reduce domestic gas demand. This would make Denmark's gas system net zero and locally circular, with renewables supplying electricity most of the time, and biogas providing backup at times when it is valued most. Biogas also helps agriculture by reducing manure and nitrogen emissions.

Biogas production costs currently range from €50 to €100 per megawatt-hour. Prior to the recent energy crisis, biogas was considered expensive, especially when compared to gas prices around €20 per megawatt-hour. This presents a difficult choice for both policymakers and business leaders: Should they prioritise the lowest-cost gas, risking increased exposure to volatile international markets, or pursue greater energy independence through locally produced, circular biogas at a higher cost? Historically, the preference has been for cheaper imported gas, but a renewed energy crisis could substantially strengthen the case for investing in biogas. Additionally, increased local biogas production means that Europe spends less on gas imports from countries outside the EU, keeping more of the economic benefits within its own borders.

Implications for business leaders

From a supply perspective, farmers and waste management companies have the ability to scale up biogas production, as long as the business case is attractive. Achieving this requires robust policy support and reliable buyers willing to pay a green premium for biogas. So, for business leaders on the offtake side, investing in biogas is not just about minimising costs; it's a strategic move to reduce exposure to volatile international energy markets and strengthen energy independence. Investing in higher priced, locally produced biogas can strengthen energy security, reduce carbon and import exposure, and keep value chains closer to home. As a result, competitiveness will increasingly depend on whether companies integrate energy resilience into investment decisions, rather than optimising solely for short term fuel costs.

Offshore gas: Europe's potential bridge as region shifts to low gas demand

Europe possesses significant offshore gas resources, with total reserves estimated at around 5,000 billion cubic meters (bcm), primarily located in Norwegian waters. Of this, approximately 2,000 bcm consists of proven (discovered) reserves, while the remaining 3,000 bcm represents potential reserves that could be uncovered through further exploration efforts.

Currently, production from offshore fields in the European Union, UK and Norway is set to fall from about 180 bcm per year today to about 30 bcm by mid-century. This is driven by the geological decline of existing production fields and the prevailing policy trajectory of one of 'managed decline'; gradually reducing production to align with net zero ambitions by 2050. For instance, in November 2025, the UK officially announced it would no longer grant new exploration licenses for offshore oil and gas exploration.

An alternative "maximum extraction and exploration" approach could slow this decline, making Europe less dependent on gas imports, while also reducing the carbon intensity of gas usage as North Sea gas emits up to six times less CO_2 than imported LNG from the US and Russia.

It's important to recognise that boosting offshore gas production alone does not shield Europe from high gas prices. As long as the region remains dependent on imported gas, liquefied natural gas (LNG) will continue to dictate market prices. This is why the most effective long-term solution is a comprehensive electrification strategy powered by renewables and nuclear energy, which breaks the link between electricity costs and gas prices. In the interim, increasing offshore gas output can help ease supply challenges, but it does not resolve Europe's vulnerability to global price fluctuations.

Implications for business leaders

For business leaders, there are two key takeaways. Firstly, while Europe possesses substantial gas reserves, current policy decisions mean these resources remain largely untapped. From a commercial standpoint, this is understandably difficult to accept, but unless a prolonged and severe gas crisis occurs, a significant policy reversal is unlikely. Secondly, even if offshore and biogas production are expanded, Europe will continue to face high and unpredictable gas prices as long as it remains dependent on global LNG markets.

This highlights the critical need to reduce direct exposure to gas by enhancing energy efficiency, accelerating electrification, and securing long-term power purchase agreements for electricity generated from renewable or nuclear sources.

Nuclear power revival: Europe’s ambitious long-term strategy

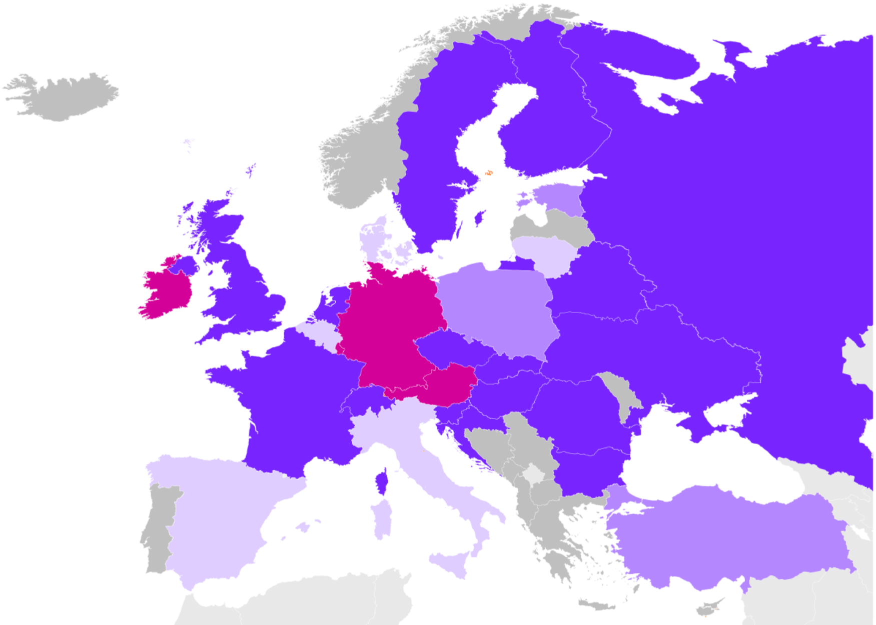
The 2022 energy crisis reignited interest in nuclear power throughout Europe, which could be further accelerated by today’s crisis. Just like the 1973–74 oil crisis spurred France’s large-scale nuclear buildout, which now supplies 70% of its electricity, ensuring reliability and low prices.

In March 2026, European Commission President Ursula von der Leyen publicly acknowledged that Europe’s shift away from nuclear energy following the Fukushima disaster – most notably Germany’s abrupt phase-out – was “a strategic mistake.”

Countries like Spain, Italy, Belgium, Denmark, and Lithuania are reconsidering nuclear bans. The UK made a final investment decision for the 3.3 GW Sizewell plant in 2025 while Hungary and Slovakia are building 1.7 GW of new capacity. And, according to the World Nuclear Association, 27 additional nuclear power plants are currently in the planning stages across the EU, underscoring a strong and growing commitment to nuclear power in Europe’s future energy landscape.

Europe’s evolving approach to nuclear power: some countries construct their first nuclear plants, others actively reconsider bans

Status of nuclear power in European power markets



Plants in operation
Pursuing first plant
Phaseout or ban in effect but being reconsidered
None in operation and no ban
Phaseout or ban in effect

Source: ING Research based on Bloomberg New Energy Finance

Extending the lifecycle of existing and low-cost nuclear power plants is a no regret policy. However, it is likely to take many years before Europe can significantly expand its nuclear power capacity, due to two key challenges.

First, recent attempts to build new nuclear plants in Europe have proven complex and costly. Flagship projects such as Flamanville, Olkiluoto, and Hinkley Point C have faced significant delays and substantial cost overruns, highlighting the considerable hurdles that remain for large-scale nuclear expansion.

Second, while interest in Small Modular Reactors (SMRs) is growing, their deployment is still in the early stages. At present, only two SMRs are operational – one in Russia and one in China – with two additional units under construction in Canada and the US. Furthermore, Europe faces heightened geopolitical risks with SMRs because these reactors rely on advanced nuclear fuel, which is primarily sourced from Russia. This dependence could complicate efforts to adopt SMR technology and increase vulnerability to supply disruptions.

So, despite the nuclear power revival, it is a long-shot strategy for Europe.

Therefore, while Europe is experiencing renewed interest in nuclear power, expanding its nuclear capacity remains a challenging and uncertain long-term endeavour.

Implications for business leaders

The revival of nuclear power in Europe has very different implications depending on where companies sit in the value chain. For business leaders operating in the nuclear value chain, especially those focused on innovation, engineering, design, fuel services, and project development, the evolving policy landscape offers clear support and new opportunities. Conversely, for energy-intensive industries, the outlook is more measured. For most companies, nuclear power remains a high-risk, long-term strategy rather than a practical solution, particularly if it diverts attention from existing technologies that can more readily decrease reliance on natural gas.

As Europe faces the prospect of another energy crisis, the solution should extend beyond simply lowering energy bills for households and businesses. There is an urgent need for technologies and policies that can significantly decrease Europe's future dependence on natural gas. As the energy crisis continues, we can expect significant progress in addressing grid congestion to accelerate renewable integration, ramping up biogas production, and potentially utilising temporary measures such as coal substitution or offshore gas extraction.

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The US tariff shock in 2025 vs 2026 – same negative impact, different drivers

The US tariff shock of 2025 was historic, but its impact on Europe was partly cushioned as tariffs on rival suppliers rose, keeping Europe's US market position broadly intact. Even so, exports fell amid higher tariffs and uncertainty. With tariffs converging to 15% in 2026 for most partners, Europe's competitiveness is set to deteriorate

One year on from the historic US tariff rollout, the impact is becoming clear

The rollout of new US tariffs in 2025 triggered months of uncertainty and market volatility. One year on, their impact is becoming clearer. Although the tariff hike was historical, its direct effect on the European economy proved more muted than initially feared. This not only reflected exemptions, tariff front-loading and strong US demand for pharmaceutical imports (especially from Ireland), but also the fact that US tariffs on many competing suppliers also rose sharply in 2025, temporarily preserving Europe's competitive position on the US market. Still, higher tariffs, the stronger euro, and heightened uncertainty weighed visibly on EU US trade.

Looking ahead, the drivers of EU-US trade are shifting. The Turnberry deal locks in a 15% tariff rate for EU exports, while tariffs on competing countries are also set to converge towards 15% in 2026. Countries such as China (31.1% effective tariff rate in 2025), India (20.5%) and Indonesia (20.8%) will therefore face substantially lower tariff rates than in 2025, eroding the EU's relative position on the US market. As a result, the drag on EU exports is likely to persist, driven less by uncertainty and tariff asymmetries and more by a deterioration in relative competitiveness.

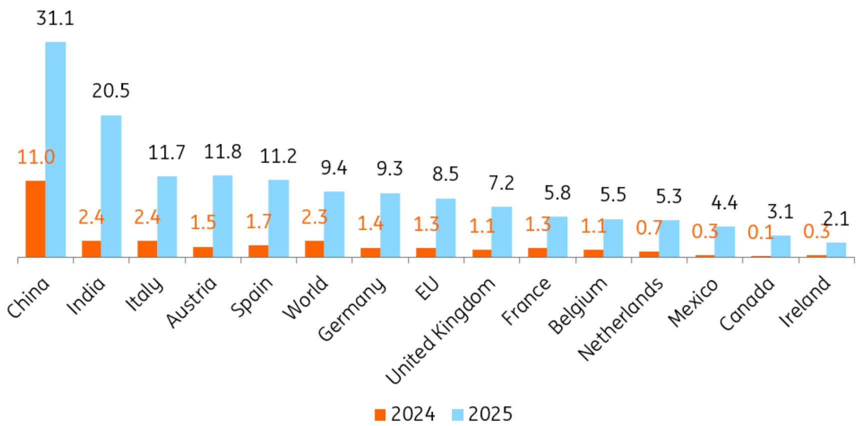
US tariffs jumped sharply in 2025, but less than feared

US tariffs increased sharply in 2025. The effective tariff rate rose by 8.1 percentage points, a historic jump, but one that ultimately proved less severe than the most adverse scenarios had anticipated. This more benign outcome partly reflected tariff stacking rules and sector specific exemptions, and partly the ability of exporters to adapt by rerouting trade flows or adjusting the composition of shipments to the US market.

For the EU, the effective tariff rate climbed to 8.5% in 2025, up by 7.2ppt compared with 2024. Despite the EU's common external tariff, effective tariff levels varied across countries due to different export structures and access to exemptions. As such, France, Belgium, and the Netherlands faced roughly half the effective tariff burden of countries such as Germany, Italy or Spain.

Large differences in effectively applied tariff rates, even within the European Union

US effective tariff rate, December values (%)



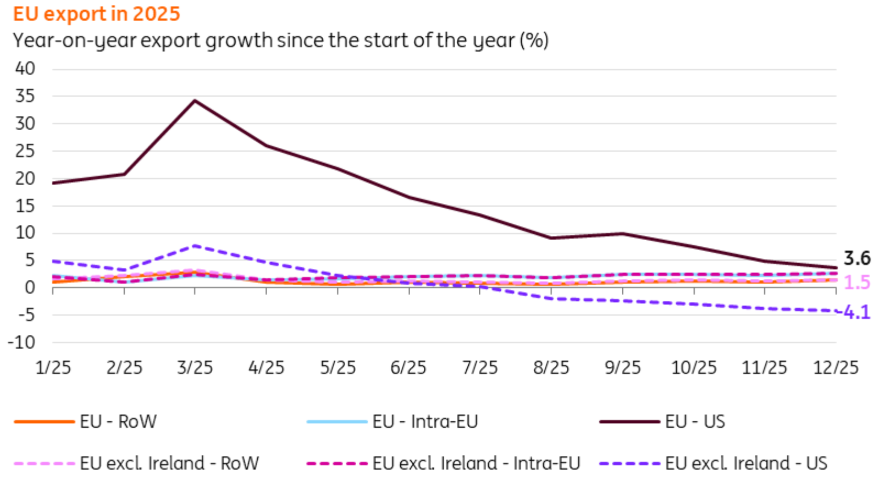
Source: US Census, ING Economic Research

EU-US exports in 2025: Tariff front-running, Irish outperformance and a sharp post-tariff decline

EU exports to the US followed a highly uneven pattern in 2025. Ahead of Liberation Day, exporters rushed shipments across the Atlantic in anticipation of higher tariffs, temporarily boosting exports by up to 35% year-on-year. This front loading effect was particularly pronounced in Ireland, where strong US demand for weight loss related pharmaceutical products largely offset the negative impact of tariffs throughout the year.

Once higher tariffs took effect, however, EU US trade weakened markedly. EU exports to the US, excluding Ireland, fell by 4.1% in 2025, despite exports to the rest of the world increasing by around 1.5% last year. This sharp difference suggests that the tariff shock had a strong negative impact on EU US trade, even if it was temporarily masked by front loading and Ireland specific factors, and broader macroeconomic developments like the strengthening of the euro.

EU exports to the US surged ahead of tariff hikes but fell markedly once higher tariffs took effect



Source: Eurostat Comext, ING Economic Research

Tariff impact in 2025: Uncertainty amplifies the hit, competitiveness cushions the blow

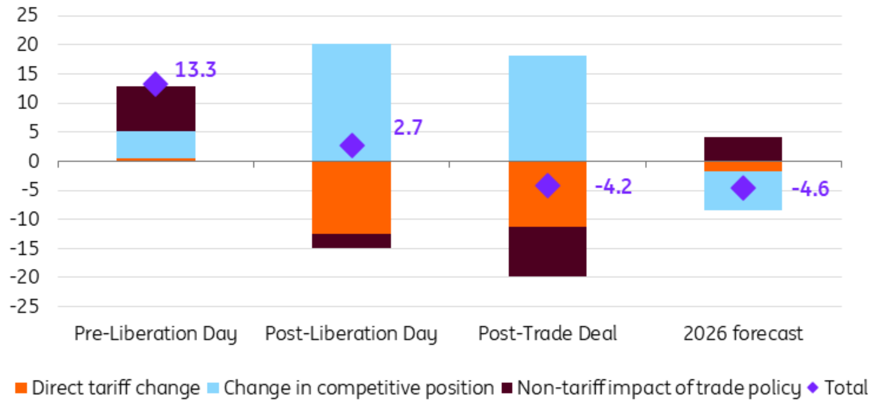
Given these overlapping effects, what was the net impact of US tariffs on EU US trade in 2025? To answer this, we isolate and decompose the impact of US trade policy on EU trade into three channels using a regression framework.

1. The **direct tariff effect** was immediate and sizeable. Following Liberation Day, higher tariffs triggered a strong fall in demand, depressing EU US trade.
2. This negative impact was more than offset by the sharp increase in **tariffs faced by competing suppliers** on the US market, such as China and India. As a result, the EU effectively regained ground relative to the direct tariff shock.
3. Tariffs also affected trade through **non tariff channels**. Heightened uncertainty initially encouraged tariff frontrunning, but later led to postponed investment and exports, as well as lower trade volumes due to rising administrative and compliance burdens.

Taken together, the direct tariff impact, shifts in relative competitiveness and uncertainty related effects point to a net reduction of around 4.2% in EU US exports in 2025. This estimate captures the pure impact of tariffs, abstracting from broader macroeconomic conditions. Yet, it aligns remarkably closely with the observed decline in EU exports to the US once the exceptional surge in Irish exports is excluded.

US tariffs are estimated to reduce EU-US exports by more than 4% in both 2025 and 2026

Estimated impact of tariff changes in 2025 on European exports to the US
Year-on-year export growth since the start of the year (%)



Source: ING Economic Research Note: The estimated effects of tariff changes are derived from a gravity model of European exports at the sectoral level. The model uses effective US tariff rates and controls for general macroeconomic developments and other policy measures. The 2026 projection assumes the conclusion of a trade agreement between the EU and the US, leading to a slight increase in effectively paid tariffs, whose economic impact is assumed to strengthen gradually over time. At the same time, the projection assumes a decline in non-tariff barriers due to greater policy certainty and the global statutory tariff levels converging towards 15%.

More certainty, higher tariffs ahead

Against this backdrop, the endorsement of the Turnberry deal by the European Parliament marks a clear turning point in EU US trade relations (even if national ratification still has to follow). By ruling out the near term use of tariff coercion instruments, the agreement brings greater clarity and predictability. Fixing tariffs at 15% should reduce trade policy uncertainty and ease non tariff frictions, lowering compliance costs for firms exporting to the United States.

That clarity, however, comes at a price. Locking in a 15% tariff likely implies a higher effective tariff rate than the 8.5% observed in 2025. As a consequence, the EU's relative competitive position is set to weaken in 2026 as Europe's competitors in the US markets, like China, India, and Indonesia, will benefit relatively more from the US Supreme Court's ruling and the rollback of IEEPA related tariffs.

Taken together, higher tariffs and a deteriorating relative competitive position will outweigh the benefits of increased certainty in 2026. Unlike in early 2025, exporters can no longer rely on tariff frontrunning to cushion the impact. Moreover, as firms gradually adjust and substitution possibilities increase, trade responses will intensify. As a result, EU export growth to the US is expected to slow further by around 4.6% in 2026 due to tariffs alone, abstracting from broader macroeconomic developments, even though the underlying drivers differ from those observed in 2025.

Overall, the tariff shock may have been less dramatic than initially feared based on headline numbers, but its economic damage is already evident and is likely to extend into 2026. Diversifying trade towards partners such as Mercosur and India is both a necessary and welcome policy response, but these markets still fall short of the depth of the US market. This reinforces the importance of strengthening the EU internal market as a key policy priority going forward.

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